

kheer. The festive season will see the launch of a *dodha barfi*. Mehta insists I try cold coffee in a glass bottle. At ₹100, it fills the premium space in coffee after the success of the more affordable Kool in a can. “We source the ingredients and use filter processing at scale. If it works, we will move it across plants.”

Another initiative in the premium piece is Amul Ice Lounge, where Amul sells only 15 flavours of ice cream (no other Amul product will be visible here), and that includes English Apple, French Caramel, Italian Fudge and Butter Pecan. These are the most popular versions from each country, and there are five lounges across Ahmedabad, Pune and Jaipur. Sold by the scoop, each is priced at a competitive ₹200. According to him, this is a complete reorientation of the dairy business with the limit “being only in our minds”.

Mehta pauses before getting back to organic. “It is not a rich man’s game; we want to democratise it. Middlemen make the money, and my assurance to the farmers is on all crops, be it organic or inorganic,” he explains. That means Amul will buy out the complete produce and can offer a large portfolio to consumers. “I can make a paneer paratha using my organic *atta*. It is about selling the concept of organic and not the range.”

30 | Speaking of the link to farmers, Amul set up a plant in Gujarat to make French fries with a 100-tonne-a-day capacity. Today, it runs to full capacity and a large part is exported to Japan. Likewise, high peanut production saw Amul launch peanut butter variants.

“Amul’s marketing has been down-to-earth, simple and focussed on the product. They have never used celebrities, and the quality value has spoken for itself,” says D. Shivakumar, Operating Partner at global private equity firm Advent International. Amul’s co-operative background has laid a strong foundation where farmers get the highest price, and consumers are charged the lowest. “MNCs have a year-on-year growth target on margin percentage plus absolute delivery, but Amul has worked on getting the right return,” he explains. He says brand success in food categories comes from managing the supply chain apart from upholding product integrity and quality. “Amul does that better than the MNCs,” he declares.

The dairy potential in India is unlimited. Both co-operative and private sector dairies have a role to play. According to Srideep Kesavan, CEO of the ₹3,250-crore Hyderabad-based Heritage Foods, there is a big opportunity since per capita consumption of milk products in India is around 350 gm, less than half of many Western countries. “Packaged milk consumption will continue to grow strong, driven by urbanisation,” he says. Regarding value-added dairy products,

A DAIRY TALE

Quick facts on India’s largest co-operative society GCMMF

1973

GCMMF formed; it is India’s largest food products marketing organisation

₹55,074 CRORE

Revenue of GCMMF, Amul’s parent, in FY23

₹72,000 CRORE

Group turnover of Amul + 18 member unions

3.6 MILLION

Number of farmers GCMMF procures milk from

18,565

Number of village dairy co-operative societies under GCMMF

98

Dairy plants

6

Plants with a capacity of over 1 million litres per day (MLPD)

41 MLPD

Total milk handling capacity

27 MLPD

Average milk procurement

1 MILLION+

Direct retail outlets

SOURCE AMUL CORPORATE PRESENTATION, GUJARAT COOPERATIVE MILK MARKETING FEDERATION LTD (GCMMF)